

FINANCES

SATO'S TAX FOOTPRINT IN 2022

Taxes to be paid during the financial year

Direct

- Income tax **EUR 42.5 million**
- Employer contributions **EUR 3.8 million**
- Transfer tax on investments **EUR 0.2 million**
- Property tax **EUR 8.4 million**

Indirect

- Energy and insurance tax **EUR 0.9 million**
- VAT included in investments that is not deducted **EUR 33.7 million**
- VAT included in purchases that is not deducted **EUR 18.1 million**



Taxes to be reported during the financial year

- Tax withheld on salaries **EUR 4.5 million**
- Net VAT on sales **EUR 0.7 million**



Total **EUR 112.7 million**

**Taxes paid to Finland
EUR 111.2 million**

CASH FLOW IN 2022, EUR MILLION

CUSTOMERS

Net sales **291.2**

FINANCIERS, INVESTORS

Withdrawal of loans **147.1**

Equity issued **0**

OTHER MARKET PARTICIPANTS

Divestments of housing property **210.6**

Other operating income **2.7**



SUPPLIERS

Purchases **106**
Investments **207.5**

PUBLIC SECTOR

Direct taxes **54.9**
Indirect taxes **52.6**
Land rents and land use fees **5.2**

FINANCIERS, INVESTORS

Interest and financial expenses **-50.2**
Repayments **174.2**
Dividend **28.3**

PERSONNEL

Salaries, benefits and pension expenses **21.6**

ENVIRONMENT

ENERGY

Energy consumption within the organization	2015	2016	2017	2018	2019	2020	2021	2022	Change, 2021–2022	Change, % 2021–2022	
Total, MWh	238,263	283,484	264,874	263,465	256,624	236,480	272,351	242,107	-30,244	-11.1%	
Share of purchased energy:											
Electricity, MWh	23,689	24,531	23,624	24,285	24,243	27,033	27,025	27,791	766	2.8%	
District heat, MWh	214,056	258,299	240,427	238,493	231,701	208,884	244,910	214,236	-30,674	-12.5%	
Share of own production:											
Oil, MWh	518	654	823	687	680	563	416	80	-336	-80.8%	
Specific energy consumption	2015	2016	2017	2018	2019	2020	2021	2022	Change, 2021–2022	Change, % 2021–2022	Change, % 2015–2022
Consumption of heating energy, adjusted for weather, kWh/rm³/a	42.9	41.5	41.8	40.7	39.8	37.8	38.1	36.1	-2.1	-5.4%	-16.0%
Consumption of electricity, kWh/m³/a	3.9	3.9	3.9	3.9	3.9	4.2	4.2	4.5	0.3	7.1%	15.7%
Total, kWh/m³/a	46.8	45.4	45.7	44.6	43.7	42.0	42.3	40.6	-1.8	-4.1%	-13.3%

The following SATO environmental sustainability indicators have been assured by an independent third party. See [Sustainability concepts](#) for more information about key figures and definitions of concepts.

EMISSIONS

Greenhouse gas (GHG) emissions	2015	2016	2017	2018	2019	2020	2021	2022	Change, 2021–2022	Change, % 2021–2022
GRI 305-1 Direct greenhouse gas emissions, t CO₂-e (scope 1)	135	170	214	179	177	147	105	20	-85	-81.0%
GRI 305-2 Indirect greenhouse gas emissions*, t CO₂-e (scope 2)										
Indirect greenhouse gas emissions, t CO ₂ -e (market-based)	37,674	48,560	39,430	36,728	34,292	30,915	43,349	37,920	-5,429	-12.5%
Indirect greenhouse gas emissions, t CO ₂ -e (location-based)	41,962	52,583	43,163	40,152	37,468	34,456	45,754	40,393	-5,361	-11.7%
GRI-305-3 Other indirect greenhouse gas emissions, t CO₂-e** (scope 3)	1,834	948	240	49	46	37	49	49	0	0.0%
Total emissions of greenhouse gases, t CO ₂ -e	39,643	49,678	39,884	36,955	34,515	31,098	43,503	37,989	-5,514	-12.7%

* In line with the GHG Protocol standard, a location-based emission figure has been reported for electricity consumption. The market-based figure is used in combined emission figures. The location-based figure refers to figures calculated using country-specific emission coefficients and figures calculated using electricity-supplier-specific, market-based emission coefficients. If the emission coefficients given for the calculation year were not available for the previous year's calculation, this data was recalculated for this report using the emission coefficient data given for the year in question. Due to a possible recalculation, the emissions data reported for the preceding year may deviate from the data reporting in the previous emissions report. Electricity does not produce any emissions because it is produced 100% by nuclear power.

** Emissions from residents' waste

GHG emission intensity of buildings	2015	2016	2017	2018	2019	2020	2021	2022	Change, 2021–2022	Change, % 2021–2022	Change, % 2018–2022
kg CO ₂ -e/m ²	32.2	35.5	29.9	27.3	25.3	26.6	31.1	28.2	-2.9	-9.3%	3.3%
kg CO ₂ -e/person	903.7	1,033.5	850.8	781.2	697.6	746.4	869.4	815.1	-54.3	-6.2%	4.4%

WATER

Total water withdrawal by source	2015	2016	2017	2018	2019	2020	2021	2022	Change, 2021–2022	Change, % 2021–2022
Total, 1,000 m ³	2,329	2,622	2,507	2,537	2,578	2,674	2,620	2,477	-143	-5.5%

All SATO properties use municipal water supply.

Specific water consumption	2015	2016	2017	2018	2019	2020	2021	2022	Change, 2021–2022	Change, % 2021–2022	Change, % 2018–2022
l/m ³ /a	418	412	414	411	409	414	409	401	-8	-2.0%	-2.4%

WASTE

Total weight of waste from tenants	2015	2016	2017	2018	2019	2020	2021	2022	Change, 2021–2022	Change, % 2021–2022
tonnes	21,578	23,985	23,573	24,124	27,269	28,131	29,806	28,361	-1,445	-4.8%
t CO ₂ -e	1,834	948	240	49	46	37	49	49	0	0.0%

Distribution of waste from tenants by disposal method	2020, %	2021, %	2022, %	2020, t	2021, t	2022, t
For recycling	29.3%	28.1%	24.6%	8,249	8,378	6,978
For energy	55.6%	58.0%	62.3%	15,631	17,226	17,667
To landfill sites	1.0%	0.5%	0.4%	267	163	122
Composting	14.1%	13.5%	12.5%	3,978	4,017	3,543
Incineration without energy recovery	0.0%	0.1%	0.2%	6	23	51

Land remediated and in need of remediation for the existing or intended land use	2020	2021	2022
Remediated soil*, t	0	2,463	415
Soil known to be in need of remediation, m ²	2,500	0**	1,200

* The reporting unit has been changed to reflect the measured data

** There are areas known to be in need of remediation, but the investigations on these are still in progress

Sustainability focus areas	Disclosure	Location and additional information
2-20	Process to determine remuneration	Remuneration statement
2-21	Annual total compensation ratio	Key figures
Strategy, policies and practices		
2-22	Statement on sustainable development strategy	Greetings from the CEO
2-23	Policy commitments	Sustainability guides our operations, Sustainability programme 2019–2022, TCFD-report, Management approach, Governance
2-24	Embedding policy commitments	Management approach
2-25	Processes to remediate negative impacts	For SATO, sustainability is about concrete actions
2-26	Mechanisms for seeking advice and raising concerns	Sustainability guides our operations
2-27	Compliance with laws and regulations	No convictions or fines resulting from non-compliance with laws in 2022.
2-28	Membership associations	Sustainability guides our operations
Stakeholder engagement		
2-29	Approach to stakeholder engagement	Sustainability guides our operations
2-30	Collective bargaining agreements	Key figures
GRI 3: Material Topics (2021)		
3-1	Process to determine material topics	New sustainability programme 2023–2026, Governance, Sustainability: Materiality analysis
3-2	List of material topics	New sustainability programme 2023–2026
3-3	Management of material topics	New sustainability programme 2023–2026, For SATO, sustainability is about concrete actions, Sustainable housing, Personnel, Management approach
Economic standards		
GRI 201: Economic performance (2016)		
201-1	Direct economic value generated and distributed	Report of the Board of Directors
201-2	Financial implications and other risks and opportunities due to climate change	TCFD-report
201-4	Financial assistance received from government	Report of the Board of Directors SATO did not receive financial assistance from the government for renovations or new construction in 2022.
GRI 203: Indirect economic impacts (2016)		
203-1	Infrastructure investments and services supported	Sustainable housing
203-2	Significant indirect economic impacts	Sustainability guides our operations, Sustainable housing, Personnel
GRI 204: Procurement practices (2016)		
204-1	Proportion of spending on local suppliers	Sustainability guides our operations Altogether 97% of SATO's purchases in 2022 were sourced from local suppliers. Foreign suppliers represented 3% of SATO's purchases.

Sustainability focus areas	Disclosure	Location and additional information
GRI 205: Anti-corruption (2016)		
205-3	Confirmed incidents of corruption and actions taken	Sustainability guides our operations Two cases of bribery among personnel in 2022, which resulted in labour law and other measures.
Environmental standards		
GRI 302: Energy (2016)		
302-1	Energy consumption within the organization	Sustainable housing, Key figures
302-3	Energy intensity	Key figures SATO reports intensities relative to apartment volumes.
302-4	Reduction of energy consumption	Key figures
CRE1 sector supplement	Building energy intensity	Key figures SATO reports intensities relative to apartment volumes.
CRE8 sector supplement	Sustainability certification for buildings	Sustainable housing, Key figures
GRI 303: Water and Effluents (2018)		
303-1	Interactions with water as a shared resource	Key figures All SATO properties use municipal water supply. Tenants consume a large share of the water, which constitutes water consumption related to living. Effluents are discharged into the municipal wastewater network, where they undergo wastewater treatment.
303-2	Management of water discharge-related impacts	The municipal water utilities analyse the water quality. Individual water analyses are performed in properties as needed. SATO does not operate in areas with water stress.
303-3	Water withdrawal	Sustainable housing, Key figures SATO does not operate in areas with water stress.
303-4	Water discharge	The municipal water utilities analyse the water quality.
303-5	Water consumption	Key figures
CRE2 sector supplement	Building water intensity	Sustainable housing, Key figures SATO reports intensities relative to apartment volumes.
GRI 305: Emissions (2016)		
305-1	Direct (Scope 1) GHG emissions	Key figures
305-2	Energy indirect (Scope 2) GHG emissions	Key figures
305-3	Other indirect (Scope 3) GHG emissions	Key figures
305-4	Greenhouse gas emissions intensity from buildings	Sustainable housing, Key figures
305-5	Reduction of GHG emissions	Sustainable housing, Key figures
CRE3 sector supplement	Greenhouse gas emissions intensity from buildings	Sustainable housing, Key figures
GRI 306: Waste (2020)		
306-1	Waste generation and significant waste-related impacts	Sustainable housing

Sustainability focus areas	Disclosure	Location and additional information
306-2	Management of significant waste- related impacts	Sustainable housing The waste reported by SATO is household waste produced by SATO's residents. SATO pays a local waste management company for the collection of the waste. The waste management company empties and processes the waste bins. In accordance with the Waste Act, residential buildings must have a contract with a local waste management company in SATO's operating area. It is SATO's task to ensure that a place has been set aside for residents to bring their waste and sort it. Reporting uses data from Statistics Finland.
306-3	Waste generated	Sustainable housing, Key figures The total amount of waste includes non-hazardous waste generated by residents. The amount of waste from SATO's own operations is marginal. SATO did not have any demolition worksites in 2022.
306-4	Waste diverted from disposal	This includes residents' non-hazardous waste that is sorted by the residents into waste collection bins to be transported and processed by the local waste management company. Currently, SATO only has approximate calculated data on waste delivered to recycling. We will develop our waste reporting during the new sustainability programme period 2023–2026.
306-5	Waste directed to disposal	This includes residents' non-hazardous waste that is sorted by the residents into waste collection bins to be transported and processed by the local waste management company. Currently, SATO only has approximate calculated data on waste delivered to recycling. We will develop our waste reporting during the new sustainability programme period 2023–2026.
SATO	Enhance the sorting of waste from residents	Sustainable housing
SATO	Communication on the environment and open data	Sustainable housing
GRI 307: Environmental compliance (2016)		
307-1	Non-compliance with environmental laws and regulations	Sustainability management No fines or sanctions in 2022.
GRI 308: Supplier environmental assessment (2016)		
308-1	New suppliers that were screened using environmental criteria	Sustainability guides our operations In line with our auditing process, we require that the environmental responsibility procedures of our new suppliers are fully adequate. 3.2% of SATO's suppliers have been audited. We performed three audits during 2022.
Sector-specific topic: Land degradation, contamination and remediation		
CRE5 sector supplement	Land remediated and in need of remediation for the existing or intended land use	Key figures
SATO's own material topic: Location of investments		
SATO	Public transport routes	Sustainable housing

Sustainability focus areas	Disclosure	Location and additional information
GRI 404: Training and education (2016)		
404-1	Average hours of training per year per employee	Personnel
404-2	Programs for upgrading employee skills and transition assistance programs	Personnel
404-3	Percentage of employees receiving regular performance and career development reviews	Sustainability guides our operations Performance reviews apply to all employees; the personal data on employees in St Petersburg is not in the system due to Russian data privacy legislation. During 2022, 95% of active personnel have attended a performance review.
GRI 405: Diversity and equal opportunity (2016)		
405-1	Diversity of governance bodies and employees	Key figures
405-2	Ratio of basic salary and remuneration of women to men	Key figures
GRI 415: Public policy (2016)		
415-1	Political contributions	In line with our Code of Conduct, we do not financially support political parties or groups or politicians.
GRI 416: Customer health and safety (2016)		
416-1	Assessment of the health and safety impacts of product and service categories	Customer experience As stated in SATO's design guidelines, construction work must be carried out in accordance with good construction practices. Construction work follows valid legislation, regulations and regulatory provisions and general quality requirements for construction work. We use M1 class construction materials as specified in the list maintained by Rakennustietosäätiö in interior surface structures.
416-2	Incidents of non-compliance concerning the health and safety impacts of products and services	Customer experience No fines or convictions from the safety or health perspectives of products/services in 2022.
GRI 418: Customer privacy (2016)		
418-1	Substantiated complaints concerning breaches of customer privacy and losses of customer data	No known confirmed complaints. During the reporting year we identified 5 incidents in which customer data had been sent to the wrong persons. The customers were informed of the incidents.
GRI 419: Socio-economic compliance (2016)		
419-1	Non-compliance with laws and regulations in the social and economic area	Corporate governance statement No fines or sanctions in 2022.
SATO's own material topic: Customer service and satisfaction		
	Multilingual customer service and communication	Customer experience
	Promoting a sense of community	Customer experience

TCFD INDEX

Main theme of reporting and recommendation on disclosures	Location and additional information
Governance	
a. Describe the board's oversight of climate-related risks and opportunities.	TCFD report, Corporate governance statement
b. Describe management's role in assessing and managing climate-related risks and opportunities.	Corporate governance statement, Sustainability management
Strategy	
a. Describe the climate-related risks and opportunities the organisation has identified over the short, medium, and long term.	TCFD report
b. Describe the impact of climate-related risks and opportunities on the organisation's businesses, strategy, and financial planning.	TCFD report, Strategy
c. Describe the resilience of the organisation's strategy, taking into consideration different climate-related scenarios, including a 2°C or lower scenario.	Sustainability programme, TCFD report, Risk management
Risk management	
a. Describe the organisation's processes for identifying and assessing climate-related risks.	Risk management, TCFD report
b. Describe the organisation's processes for managing climate-related risks.	Risk management, TCFD report
c. Describe how processes for identifying, assessing and managing climate-related risks are integrated into the organisation's overall risk management.	Risk management, TCFD report
Metrics and targets	
a. Disclose the metrics used by the organisation to assess climate-related risks and opportunities in line with its strategy and risk management process.	Sustainability programme, Objectives table
b. Disclose Scope 1, Scope 2 and, if appropriate, Scope 3 greenhouse gas emissions and the related risks.	Key indicators
c. Describe the targets used by the organisation to manage climate-related risks and opportunities and performance against targets.	Sustainability programme, Objectives table, TCFD report

ASSURANCE REPORT

INDEPENDENT ASSURANCE REPORT TO THE MANAGEMENT OF SATO OYJ

We have been engaged by the Management of Sato Oyj (hereafter "Sato") to provide limited assurance on selected corporate environmental indicators¹ presented in Sato's Sustainability Report 2022 (hereafter "Corporate Sustainability Information") for the year ended 31 Dec 2022.

Management's responsibilities

The Management of Sato is responsible for the preparation and presentation of the Corporate Sustainability Information in accordance with the reporting criteria, i.e. GRI Sustainability Reporting Standards, and the information and assertions contained within it. The Management is also responsible for determining Sato's objectives with regard to sustainable development performance and reporting, including the identification of stakeholders and material issues, and for establishing and maintaining appropriate performance management and internal control systems from which the reported performance information is derived.

Our responsibilities

Our responsibility is to carry out a limited assurance engagement and to express a conclusion based on the work performed. We conducted our assurance engagement on the Corporate Sustainability Information in accordance with International Standard on Assurance Engagements (ISAE) 3000 (Revised), Assurance Engagements other than Audits or Reviews of Historical Financial Information, issued by the International Auditing and Assurance Standards Board IAASB. That Standard requires that we plan and perform the engagement to obtain limited assurance about whether the Corporate Sustainability Information is free from material misstatement.

KPMG Oy Ab applies International Standard on Quality Management ISQM 1 which requires the firm to design, implement and operate a system of quality management including policies

or procedures regarding compliance with ethical requirements, professional standards and applicable legal and regulatory requirements.

We have complied with the independence and other ethical requirements of the International Ethics Standards Board for Accountants' International Code of Ethics for Professional Accountants, (including International Independence Standards) (IESBA Code), which is founded on fundamental principles of integrity, objectivity, professional competence and due care, confidentiality and professional behavior.

Procedures performed

A limited assurance engagement on Corporate Sustainability Information consists of making inquiries, primarily of persons responsible for the preparation of information presented in the Corporate Sustainability Information, and applying analytical and other evidence gathering procedures, as appropriate. In the engagement, we have performed the following procedures, among others:

- Interviewed a member of Sato's senior management and relevant staff responsible for providing the Corporate Sustainability Information;
- Assessed the application of the GRI Sustainability Reporting Standards reporting principles in the presentation of the Corporate Sustainability Information;
- Assessed data management processes, information systems and working methods used to gather and consolidate the Corporate Sustainability Information;
- Reviewed the presented Corporate Sustainability Information and assessed its quality and reporting boundary definitions; and
- Assessed the Corporate Sustainability Information's data accuracy and completeness through a review of the original documents and systems on a sample basis.

The procedures performed in a limited assurance engagement vary in nature and timing from, and are less in extent than for, a reasonable assurance engagement. Consequently, the level of assurance obtained in a limited assurance engagement is substantially lower than the assurance that would have been obtained had a reasonable assurance engagement been performed.

Inherent limitations

Inherent limitations exist in all assurance engagements due to the selective testing of the information being examined. Therefore fraud, error or non-compliance may occur and not be detected. Additionally, non-financial data may be subject to more inherent limitations than financial data, given both its nature and the methods used for determining, calculating and estimating such data.

Conclusion

Our conclusion has been formed on the basis of, and is subject to, the matters outlined in this report.

We believe that the evidence we have obtained is sufficient and appropriate to provide a basis for our conclusions.

Based on the procedures performed and the evidence obtained, as described above, nothing has come to our attention that causes us to believe that the Corporate Sustainability Information subject to the assurance engagement is not prepared, in all material respects, in accordance with the GRI Sustainability Reporting Standards.

Helsinki, 15 February 2023
KPMG Oy Ab

Tomas Otterström
Partner, Advisory

Esa Kailiala
Authorized Public Accountant

¹ Energy (GRI 302-1, 302-4, CRE1), Water (GRI 303-3, CRE2), Emissions (GRI 305-1, 305-2, 305-3, 305-5, CRE3), Effluents and waste (GRI 306-3), Land remediated and in need of remediation (CRE5), Environmental compliance (GRI 307-1), Supplier environmental assessment (GRI 308-1).